

P870022-1338

F42

United States Department of State

DECLASSIFIED

06 OCT 14 PM 46

263/808

OCT 23 1986

SECRET

TO: The Secretary
FROM: H - J. Edward Fox *E*
SUBJECT: Breakfast With Senator Lugar - Wednesday, October 15, 1986, 7:30 am - 8:30 am, Your Dining Room

SETTING

You invited Senator Lugar to breakfast to brief him on the President's meeting with General Secretary Gorbachev.

BACKGROUND

SCENARIO

I will accompany Senator Lugar to your dining room.

Attachments:

- Tab 1 - Nominations
- Tab 2 - The Budget
- Tab 3 - El Salvador
- Tab 4 - Iceland Pre-Summit

Drafted: H:K Longmyer:rr KL
10/14/86 x71246
EUR-993

DECLASSIFIED

SECRET
(DECL: OADR)

1/51MICRO

OCT 4 1986

Handwritten notes and stamps on the right margin, including "OADR" and "10/14/86".

SECRET

00000000

ISSUES

Nominations:

XIX

SECRET

(DECT/DAUR)

00000000

SECRET

DECLASSIFIED

XN

SECRET

(DECL: OADR)

03 15 8 030

SECRET

DECLASSIFIED

ISSUE

The Budget:

XN

bud-3438

SECRET

(DECL: GADR)

0311581030

SECRET

TALKING POINTS ON EL SALVADOR FARMING QUARTERS

1-1

XX

SECRET

(DECT: OADR)

SECRET

Reykjavik Meetings

- We came a lot further on arms control than we thought possible; there was disappointment on both sides that we could not come to closure.
- We worked through the night on human rights and other issues as well as arms control; we made progress in these areas, too, but the Soviets made the whole package conditional on U.S. acceptance of their position on SDI.
- Our inability to agree was not the fault of SDI; it was SDI that brought the Soviets back to the negotiating table and enabled us to record the gains we made at Reykjavik.
- The fact that we did not nail everything down does not mean Reykjavik "failed"; the process can go on and we intend to build on the areas of agreement we found. The President was very firm on this -- "no turning back."

The Positions

- They are largely as you have seen them in the media.
- In START we came very close to U.S. objectives for the last decade--deep cuts in offensive arms. We agreed to 50 per cent reductions over a 5-year period to 1600 SNDVs and 6000 warheads.
- INF was difficult at first and Gorbachev frequently raised British and French systems. Gradually, we agreed that there would be a global ceiling of 100 LRINF warheads on each side, with these to be deployed in the Asian part of the USSR and on U.S. territory.
- Verification was discussed extensively and both sides put forward rigorous positions. Difficulties remain (CDE, MBFR) but our persistence on this issue may be paying off. We seemed to agree that an effective package must include comprehensive data exchange, on-site inspection of destruction and on-site monitoring of residual forces.
- As you know, we put forward an approach on nuclear testing that calls for submitting the TTBT/PNET for ratification at the next session of Congress. However, we must agree on improved verification measures with the Soviets if we are to seek ratification without reservations. We and the Soviets seem to agree on the elements of an initial approach to testing; the main difference is how closely to link it to a comprehensive test ban.

SECRET
(DECL:OADR)

0315581030

SECRET

- 2 -

- on defense and space, we proposed this package to break the impasse:

SECRET

- o Research, testing and development for five years as permitted by the ABM Treaty, during which time strategic arsenals would be cut by 50 per cent.
- o If remaining offensive ballistic missiles were eliminated during the next five years, the same restrictions would apply to strategic defenses.
- o With all offensive ballistic missiles eliminated at the end of ten years, either side could deploy defenses as an insurance policy.
- The Soviets agreed to reduction in two five-year phases but wanted to change the ABM Treaty to permit only research that can be done in the laboratory.
- We can live with the ABM Treaty but we cannot agree to alter it in a way that would cripple the SDI program and thus eliminate the key factor in motivating the Soviets finally to agree to reductions in START and INF.
- The President very courageously refused to abandon the insurance policy without which the U.S. and its allies would be vulnerable.

riefing The Allies

- The Allies were very supportive and were impressed by the sweep of the proposals that surfaced in Reykjavik.
- They applauded the President's decision to go to Reykjavik, thanked us for his efforts, and urged that we move smartly to introduce the progress achieved into the appropriate negotiating fora.
- They thought it important that we stress that Reykjavik was one step along the road. In addition, we should rebut the charge that SDI is the lone obstacle in concluding a successful arms control agreements package. We agree on these points as well.

SECRET

(DECL: QDR)

SECRET

SECRET

- 3 -

DECLASSIFIED

The Process

- In sum, we do not measure Reykjavik by the number of agreements we did or did not sign. Our contacts with the Soviets are designed to narrow our differences and give impetus to the ongoing negotiations. By that measurement Reykjavik made impressive progress.
- We have set the stage for what could be a major advance in U.S.-Soviet relations. On issue after issue we found Gorbachev ready for serious bargaining and for the first time there was agreement on actual reductions of armaments. The next step should be to go to Geneva and seek to incorporate into the negotiations the progress made at Reykjavik.
- The Soviets, of course, must decide they want to continue with us in this endeavor. So far there is no reason to believe that any of the understandings we reached--and our exchanges in the arms control working group were highly reasonable and businesslike--are not still on the table.
- Prospects for a summit this year are hard to calculate. It does not seem likely at this point but we obviously should never say never in these matters.

DECLASSIFIED

SECRET

(REF: OADR)